

WEBVTT

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00:00:00.000 --> 00:00:01.810

Shanti Punukollu: Yes, thank you.

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00:00:02.340 --> 00:00:26.720

Shanti Punukollu: Yes, I see that recording is in progress as well. Okay, great. So I think STL, came to us, so we have forum meetings that happen once a month, and prior to that, we have a screening meeting that happens after their application. We were one of the very first people that STL actually had applied to, because I'm sure you're aware that in the past, like.

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00:00:26.720 --> 00:00:30.900

Shanti Punukollu: multiple years. They were mainly, working with,

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00:00:30.900 --> 00:00:42.649

Shanti Punukollu: non-dilutive government grants, CIVER grants, essentially. So, which is \$6 million worth of non-dilutive funding. Our tax dollars at work is how we like to think about it, so...

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00:00:42.650 --> 00:00:42.980

Kevin Li: Yes.

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00:00:42.980 --> 00:01:02.050

Shanti Punukollu: So, and then I think what happened is that earlier this year, you know, because of some of the changes that happen... sorry, I say this year, I meant last year, 2025, there were some changes, as you know, with some of the grant funding and the type of CIBR process and,

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00:01:02.430 --> 00:01:03.810

Shanti Punukollu: And I think

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00:01:03.810 --> 00:01:26.140

Shanti Punukollu: for her, she realized that some of these things were going to change, and of course, there was... we were also going into a shutdown in the fall, and she decided to go more commercial. So we were one of the first angel... first groups that she applied to. So we just happened to come across her in September, and at that time, she did not even have a lot of contracts in place.

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00:01:26.140 --> 00:01:34.330

Shanti Punukollu: she, she had started talking to, Panasonic and some of, and,

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00:01:34.380 --> 00:01:52.160

Shanti Punukollu: NBI Tech, NBIAP, I don't remember all the acronyms, but, but she had been talking to a lot of different companies, but she had not necessarily gotten the contracts, and our big concern at the beginning was, you know, what is... like, is it really ready to be commercialized, or is it still

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00:01:52.630 --> 00:01:53.699

Shanti Punukollu: research deeper.

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00:01:53.700 --> 00:01:54.050

Kevin Li: Yes.

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00:01:54.050 --> 00:02:18.930

Shanti Punukollu: type of scenario. And, you know, for our members, we want to make sure that there is going to be conversion based on commercialization. So, so when she first came, we started looking into it, but we were a little cautious. We liked what we liked. We liked the IP. We loved that it was computer vision oriented. She had a lot of IP, that was protected by patents. She was a subject matter expert in her space.

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00:02:18.930 --> 00:02:23.750

Shanti Punukollu: Which was not just her, but was corroborated by a whole bunch of other people.

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00:02:23.900 --> 00:02:41.710

Shanti Punukollu: And then, her IP, she had gone through an extra process where she'd gotten her IP evaluated by a third-party patent company, and one of our patent lawyers, who is on Golden Seeds, also evaluated and said they're a really good company, and these were pretty solid patents that were granted.

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00:02:41.710 --> 00:02:42.889

Kevin Li: Well, we're impacted.

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00:02:42.890 --> 00:03:07.809

Shanti Punukollu: Yes, very well-written patents, very deep technologically, and then she had perpetual royalties. She had negotiated the perpetual exclusive royalties through UC Irvine, because that's the other part we were concerned about in terms of IP. So, so we thought that was good. Okay, so that was... that was what we felt was really helpful about it. We also liked the space she was working in, because we do believe that that's a growing market.

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00:03:07.870 --> 00:03:14.050

Shanti Punukollu: In terms of immersing technologies, I think almost everybody that we talk to has

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00:03:14.050 --> 00:03:38.800

Shanti Punukollu: had some sort of interaction with immersive technologies in the recent past. I mean, people talk about the Van Gogh experience, but that's a very crude version of an immersive experience. There's a lot more diversified, complex, immersive experiences that occur all over. And I know that when I've been... there's a lot of museum-style experiences. Again, this is just basically stuff that was very much in the Disney sphere that's being

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00:03:38.800 --> 00:03:51.080

Shanti Punukollu: now commoditized out into the mid-market area. So we felt like there was an opportunity not just to handle the long lead, large-scale volume, but also to handle this mid-market commercialization.

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00:03:51.080 --> 00:04:08.790

Shanti Punukollu: So we felt like there was a market there. Again, comes back to what is her availability... ability to commercialize it? And, and I think, the good part was that during the time when we were kind of trying to do more background analysis on it, she started to close on the deal with

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00:04:08.790 --> 00:04:14.400

Shanti Punukollu: Panasonic, and then she had the NBI AP deal in place. She was also talking to some people.

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00:04:14.760 --> 00:04:25.230

Shanti Punukollu: So I... so we were, so we thought it was good progress on the founder's part to be able to turn from our very research-oriented mentality.

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00:04:25.620 --> 00:04:44.550

Shanti Punukollu: commercialization, because I think this is always a cause for concern when we deal with deep tech. So, so we saw that she actually progressed, and she was at, Panasonic had originally asked her for an exclusive deal, and she had been able to push back against it and be able to come up with, like, something where she.

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00:04:44.550 --> 00:04:44.920

Kevin Li: Gingo.

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00:04:44.920 --> 00:04:48.600

Shanti Punukollu: associated with them, where they did not get exclusive rights, which I thought was also.

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00:04:48.600 --> 00:04:49.200

Kevin Li: Interesting.

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00:04:49.200 --> 00:04:50.440

Shanti Punukollu: Yeah, because.

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00:04:50.440 --> 00:04:51.770

Kevin Li: Yeah, I did know that. Okay.

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00:04:51.770 --> 00:04:56.830

Shanti Punukollu: Yeah, yeah, and those are things that are hard to negotiate when you're early on, so...

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00:04:56.830 --> 00:04:57.799

Kevin Li: Yeah, yeah, yeah.

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00:04:57.800 --> 00:05:07.759

Shanti Punukollu: So we like that. We also like that she had hired CP, who is a lot more knowledgeable about startups and the financial models on that, so I think he...

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00:05:07.760 --> 00:05:19.710

Shanti Punukollu: He helped a little with that, because again, want to make sure that she had a strong team of people. The things, the areas that we felt were still, a cause of concern were go-to-market.

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00:05:19.710 --> 00:05:23.770

Shanti Punukollu: And I think go-to-market is still a little bit,

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00:05:23.990 --> 00:05:47.240

Shanti Punukollu: evolving for them, so this is definitely a risk area, because the reality is that they have a lot of different opportunities, and it's really important that when you do go to market, to be very focused, and to be able to build a strategy, both from the sales side as well as the marketing side. And most of it had been founder-led sales. In general, we like founder-led sales.

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00:05:47.240 --> 00:05:54.549

Shanti Punukollu: But we want to be able to say, what is a continued way to get the pipeline moving? So that was one of the concerns we had.

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00:05:54.760 --> 00:06:12.510

Shanti Punukollu: Then, so during this time, while we were evaluating all these things, as I said, she started landing this contract with Panasonic, and, and she was also working with NVIAPL. Again, don't quote me on the.

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00:06:12.510 --> 00:06:14.759

Kevin Li: I don't remember, but I know what you're talking about, yeah.

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00:06:14.760 --> 00:06:27.739

Shanti Punukollu: Yeah, exactly. And I know those were a leader... one of the big players in the industry. The two things, we talked to three of her channel partners, which was Pixera, and

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00:06:28.790 --> 00:06:53.469

Shanti Punukollu: there's this other projector company, Christie Global, and the third one, we talked to a TechMD Inc, which is a Disney integrator. And all of these are different channels for her to pursue, they're just more depths of complexity. So, one of the things that, Christie Global and Panasonic, Epson, who she was having conversations with.

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00:06:53.470 --> 00:06:58.300

Shanti Punukollu: They're all integrated both in the defense space as well as the public sector, so they do.

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00:06:58.300 --> 00:06:58.700

Kevin Li: Both.

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00:06:58.700 --> 00:07:09.499

Shanti Punukollu: commercial and defense. And while we believe there's lots of opportunities for this in defense, we discounted that for the purposes of our due diligence, because

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00:07:09.500 --> 00:07:23.040

Shanti Punukollu: we're not really sure what's going on, in terms of defense-related stuff at this point, given where we are with the government shutdown, or was in the government shutdown, and now, of course, CIBR grants are all kind of paused right now.

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00:07:23.040 --> 00:07:43.420

Shanti Punukollu: So we have no idea. So we decided to discount that whole thing. However, we did, we did say, okay, if that opened back up, she was building relationships with companies that worked in both defense and commercial. So that'll help her both in terms of attracting funding and also being able to participate in StrakFi.

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00:07:43.420 --> 00:07:46.370

Shanti Punukollu: and track fi... are you familiar with these terms?

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00:07:47.230 --> 00:07:51.390

Kevin Li: the... not those last two. So, I'm with you up until now.

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00:07:51.590 --> 00:07:55.370

Shanti Punukollu: Okay, so CIBR, S-B-I-R, funds.

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00:07:55.370 --> 00:07:56.459

Kevin Li: That I am, yes.

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00:07:56.460 --> 00:08:12.239

Shanti Punukollu: Yeah, so there's 3 levels of CIBR grants, and the first one, a lot of people get very easily. It's like \$125,000 or something. It's a very basic grant. CIBR Level 2 is a more

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00:08:12.450 --> 00:08:27.140

Shanti Punukollu: complicated, grant, and it requires some amount of a documented set of, deliverables that you have to provide, and it also opens you up to having, what's called a Stractify or a TrackFi.

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00:08:27.140 --> 00:08:42.100

Shanti Punukollu: Which are two different terms, but the bottom line is, if you can show that you have a commercial application that's going to match a defense-level application, in terms of dollars.

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00:08:42.100 --> 00:08:51.799

Shanti Punukollu: So there's a commercial use and a dual, use. And number two, you have a couple of sponsors in the... in defense.

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00:08:52.040 --> 00:09:08.730

Shanti Punukollu: will sponsor you, usually someone who's more senior, major, major general, or some sort of ranked official. Then you can apply for these track... those are... those will help expedite more dollars and open you up. So that's called, like, often used, referred to as dual use.

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00:09:08.730 --> 00:09:33.250

Shanti Punukollu: dual-use grants, and those are very powerful. And so, because these people are in commercial as well as defense space, some of these partners, we felt that that is something that is a positive bonus upside. Okay, going back to, this part. So then, going back to the commercial part, switching back, we had talked to Pixera, who is the media server, and Pixera, by the way.

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00:09:33.460 --> 00:09:53.120

Shanti Punukollu: huge fans of hers, like, huge fan. The guy who was doing it at Pixar is originally out of Europe, and he heads up their US unit, and he was a big fan, and but we felt Pixar was a very small business, they don't have a large business as a media server, so we didn't know how much we should

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00:09:53.220 --> 00:10:02.679

Shanti Punukollu: like, take that into account in terms of how big the market was going to be. But then we actually were able to connect them through one of our members

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00:10:02.680 --> 00:10:16.860

Shanti Punukollu: to a large global media company, you could consider them a market leader in a lot of experiences. There are people who handle things like Super Bowls, and they handle major concert tours, which, if you think about it, are, like, huge immersive experiences.

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00:10:16.860 --> 00:10:18.660

Shanti Punukollu: Yeah, yeah. And...

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00:10:18.660 --> 00:10:29.539

Shanti Punukollu: And, the first conversation with... that we had with them, they were like, well, how come we've never heard of this company? We know all the players, and, you know, what... what... you know, why should, like.

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00:10:29.540 --> 00:10:48.879

Shanti Punukollu: this sounds, like, kind of hokey, I wouldn't put our money there. So we said, okay, great, would you be willing to talk to them with us on the line, and then, you know, be able to just, you know, have a conversation, and that would really help us. And because, again, because our member had a good relationship with them, we were able to engage them in that conversation. So we had.

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00:10:48.880 --> 00:10:49.240

Kevin Li: Is this...

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00:10:49.240 --> 00:10:49.589

Shanti Punukollu: eating what.

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00:10:49.590 --> 00:10:52.140

Kevin Li: Sorry, is this PRG?

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00:10:52.390 --> 00:10:54.020

Shanti Punukollu: Yes, PRG, yes. Okay, great.

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00:10:54.020 --> 00:10:54.440

Kevin Li: Okay, Craig.

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00:10:54.440 --> 00:10:58.640

Shanti Punukollu: And I'm sure you're aware of them, they're, like, a huge media company. I don't know if you've.

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00:10:58.640 --> 00:10:59.010

Kevin Li: Oh, yeah.

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00:10:59.490 --> 00:11:16.749

Shanti Punukollu: They're really big. So, we had the chief, creative officer, who's also the original founder of PRG, and, and on the call, their chief innovation officer, and, somebody who owns all the media server pieces.

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00:11:16.890 --> 00:11:30.320

Shanti Punukollu: And they were on the call with us, and we were just talking about the different technologies, and she was doing a demo, and while they were... she was running the demo in the background, because, you know, it takes a while for her to pre-process and recalibrate.

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00:11:30.320 --> 00:11:38.850

Shanti Punukollu: And, you know, it's showing up on one of the screens. Imagine that one of the screens at the top of your screen is showing that while, you know, Aditi is talking to us.

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00:11:38.850 --> 00:11:39.220

Kevin Li: You can see.

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00:11:39.220 --> 00:11:42.599

Shanti Punukollu: He is finished, because the... you can see it, right? And he...

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00:11:42.600 --> 00:11:43.080

Kevin Li: Yeah.

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00:11:43.080 --> 00:11:47.190

Shanti Punukollu: The guy interrupted us and said, wait, did that just finish?

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00:11:48.030 --> 00:11:49.970

Shanti Punukollu: And she said yes.

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00:11:50.590 --> 00:11:53.030

Shanti Punukollu: And then it was, like, the whole vibe of the whole

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00:11:53.440 --> 00:11:58.320

Shanti Punukollu: Like, honestly, Gwen and I had never seen that happen in any conversation that we've.

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00:11:58.320 --> 00:11:58.800

Kevin Li: Yeah, yeah, yeah.

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00:11:59.120 --> 00:12:20.020

Shanti Punukollu: They started getting so technical into details, what does she do? How does she do it, how does it change? And they were basically saying, hey, she said, look, I can prove this with these LED-type things, these particular things, but disguised servers, etc, are very expensive to acquire, and they're like, okay, what do you need? Because we also rent, so we could get you some of those

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00:12:20.650 --> 00:12:29.979

Shanti Punukollu: things for you to test with. So, literally, they sent someone over, like, a couple of weeks later, and now they're... I know that right now they're engaged with

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00:12:29.980 --> 00:12:53.080

Shanti Punukollu: talking to them about, you know, how they can work on their stuff moving forward. Now, regardless of whether that pans out or not, the big thing is they can both help with co-marketing and co-branding. They are also market leaders, so whatever they use, other people will follow. So, in a way, so that was the thing that really, I think, convinced everybody, because

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00:12:53.080 --> 00:12:57.619

Shanti Punukollu: Their... that their technology was so differentiated and revolutionary.

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00:12:58.640 --> 00:13:10.589

Kevin Li: Gotcha, gotcha. No, that's fantastic. I guess a quick follow-up on just that, because, that segment of the deal memo really stood out, like, when I read it, and so, my, my...

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00:13:11.220 --> 00:13:19.780

Kevin Li: my initial reaction was, if these people are so excited, why aren't they paying customers? It sounds like maybe they're in talks, or do you know the latest?

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00:13:19.780 --> 00:13:37.910

Shanti Punukollu: They're in conversations, I... what happened is that they had a conversation till December. They were still trying to figure out how to utilize them fully, and I know January and February, so they also tend to have, because of the Super Bowl and things like that, they tend to be really booked up in... Right.

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00:13:37.910 --> 00:13:42.899

Shanti Punukollu: So, I know that I had to actually ping them and say, are you guys still, like, you know, and so then.

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00:13:42.900 --> 00:13:43.280

Kevin Li: Yeah, yeah.

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00:13:43.280 --> 00:14:01.460

Shanti Punukollu: they have gotten back in touch with her only at the end of February. So they're back in talks to figure out how to use them. And in fact, their chief, creative officer was talking about different ways that this technology can be utilized. Again, he's a creative person, so he thinks very much

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00:14:01.460 --> 00:14:23.179

Shanti Punukollu: creatively out of the box, and one of the things that, he recommended was something that they're also talking to, which is figuring out how to do immersive display ads, in different places. And one of those things is something that they're talking to with a company in Europe that is considering doing subway, ads. I don't know if she told you about that.

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00:14:23.180 --> 00:14:23.520

Kevin Li: No.

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00:14:23.520 --> 00:14:34.030

Shanti Punukollu: imagine, like, projector-based ads in subways, et cetera, which are, like, immersive. So there's a lot of different applications that

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00:14:34.030 --> 00:14:44.740

Shanti Punukollu: you know, they were also talking about, but he had also identified as things that they should diversify into. Number two is, they're a rental-based company, so they're

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00:14:44.740 --> 00:15:09.010

Shanti Punukollu: contracts are projects that come online and offline, so, so they're trying to think about how they can co-market and brand it in some way that makes sense for them, and how the math works for them, because they're rental. Usually these, they're licensing on annual deals. This is their current licensing model. They're going to have to figure out a different licensing model, because it's rental.

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00:15:09.010 --> 00:15:27.880

Shanti Punukollu: So, imagine a concert that sets up and breaks down every day and goes to a different location. They love the fact that this would auto-calibrate their screens, so they don't have to worry so much about the precision, because people have to travel, people have to set it up, all of the production. But,

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00:15:27.920 --> 00:15:45.670

Shanti Punukollu: they love that, but then again, it only runs for, like, two-month tour. Then, you know, so would they buy a 1-year license? No. So they have to figure out how they're going to structure the model as well, so there's a different pricing model that they'll have to work out for this company. So I think that's going to take a little while to figure out.

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00:15:46.310 --> 00:15:48.460

Kevin Li: Gotcha, gotcha. No, that makes a ton of sense.

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00:15:48.770 --> 00:16:08.419

Kevin Li: And then earlier, going back to what you had, mentioned about the SBIR, I was under the impression that that was thawing, and so that actually seems like the timing could be right right now, but one thing we noticed, on the cap table is they had an advisor, blanking, I want to say it was, like, Stephen Clark.

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00:16:08.670 --> 00:16:09.780

Shanti Punukollu: Yeah, yeah.

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00:16:10.170 --> 00:16:10.820

Kevin Li: Do I assume?

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00:16:10.820 --> 00:16:14.470

Shanti Punukollu: Air Force, yes, the Air Force guy, yes.

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00:16:14.780 --> 00:16:32.470

Kevin Li: who I assume was very helpful in, kind of, helping them navigate through that process, but he seems fully vested, and so I wasn't sure, do you know if there are any plans there in terms of, is he going to continue helping them now that the scene has thawed a bit? I don't know how close to, kind of, the latest you are.

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00:16:32.940 --> 00:16:41.039

Shanti Punukollu: So I... we did speak with him, and so he loves the technology, he wanted to be more involved.

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00:16:42.080 --> 00:16:53.659

Shanti Punukollu: I think, there's some personal reasons why he had to take a step back, family-related. So... so... so I think one of the things they'd agreed to was...

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00:16:54.230 --> 00:17:01.950

Shanti Punukollu: because before, he'd also taken on a title that was, I think he, at some point, even had a CEO title, so that from.

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00:17:01.950 --> 00:17:02.379

Kevin Li: Oh, wow.

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00:17:02.380 --> 00:17:05.679

Shanti Punukollu: standpoint. He, you know, he could...

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00:17:05.680 --> 00:17:06.989

Kevin Li: She was running the show, yeah.

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00:17:06.990 --> 00:17:11.600

Shanti Punukollu: Exactly, yes. Even though Aditi is really running the show, right?

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00:17:11.609 --> 00:17:11.939

Kevin Li: Yes.

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00:17:11.940 --> 00:17:21.810

Shanti Punukollu: And so, I think they worked out an agreement so that he could still help, but more from a paid consulting sort of agreement.

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00:17:21.819 --> 00:17:22.329

Kevin Li: I see.

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00:17:22.579 --> 00:17:39.129

Shanti Punukollu: Then a vested, angle, because we also wanted them to think about setting aside a pool, for newer employees that they'd have to bring on, especially with regard to some of their, go-to-market efforts.

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00:17:40.140 --> 00:17:51.260

Kevin Li: Makes sense. And it, it sounds like, just as... as you were going through, sort of, the timeline, it sounds like you guys were... were possibly first money in on the round, back in...

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00:17:51.260 --> 00:17:51.680

Shanti Punukollu: Yes.

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00:17:51.680 --> 00:17:54.070

Kevin Li: I... right, last fall.

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00:17:54.500 --> 00:17:57.049

Shanti Punukollu: Actually, we sent the money in December.

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00:17:57.880 --> 00:18:01.089

Kevin Li: Were you at all concerned about them running out of money?

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00:18:01.200 --> 00:18:04.050

Kevin Li: Before they could raise another round.

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00:18:04.500 --> 00:18:17.979

Shanti Punukollu: We were thinking about it, so that's why we had a long conversation. So, first of all, I mean, usually Golden Seeds, I'll be absolutely honest, we very rarely lead around, right? Like, usually, you know, we're following somebody else's.

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00:18:17.980 --> 00:18:18.429

Kevin Li: Yeah, yeah.

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00:18:18.430 --> 00:18:37.439

Shanti Punukollu: It's very rare. This just happened to be that we were one of the first set of people, and so we actually led the deal. But, I think we... one of the reasons we set in a \$750K originally, as the, raise...

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00:18:37.630 --> 00:18:55.949

Shanti Punukollu: thing. Of course, you know, if 50% of existing investors can approve, you can always extend, you know, the limit, was because if they can raise more money, then they can wait a little bit longer before they do their next raise. But our goal was to bridge them. Now.

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00:18:57.330 --> 00:18:58.750

Shanti Punukollu: We, you know.

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00:18:59.130 --> 00:19:07.029

Shanti Punukollu: I personally do not believe that financial models, when they're such early-stage deep tech companies, are very,

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00:19:07.130 --> 00:19:14.739

Shanti Punukollu: useful, because I think it's, you know... and even when they're a little bit further along, it tends to be really hand-wavy, my way.

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00:19:14.740 --> 00:19:15.120

Kevin Li: Yeah, yeah.

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00:19:15.120 --> 00:19:25.189

Shanti Punukollu: Right, so, so I think it wasn't so much the business model. The big thing that we wanted to make sure

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00:19:27.890 --> 00:19:47.679

Shanti Punukollu: was relevant was, is A, is the market big enough, right? Like, is there going to be enough money? They might have to revise their business model, they might have to revise their revenue model, and and if they're going to be focused on specific channels, they can't be focused on the really long lead Disney-type channels, because those channels.

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00:19:47.680 --> 00:19:48.060

Kevin Li: Yes.

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00:19:48.060 --> 00:20:05.920

Shanti Punukollu: up 4 years for those... some of those contracts to come through. So, what does it mean in that mid to... mid to high-tier markets? Like, how can they access... access those? The, second part that we, had to give consideration to was

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00:20:07.520 --> 00:20:13.029

Shanti Punukollu: What is the inflow that had to come in from the contracts that were in the pipeline in order.

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00:20:13.030 --> 00:20:13.550

Kevin Li: Very true.

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00:20:13.550 --> 00:20:19.350

Shanti Punukollu: her to bridge that so that she could last through, essentially, at least Q3. Like, that was the big...

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00:20:20.070 --> 00:20:27.539

Shanti Punukollu: kind of the math we sort of did, and you know, right now, I think... I don't know what their latest funding...

136

00:20:28.360 --> 00:20:34.309

Shanti Punukollu: amount is... sorry, I haven't been in touch for the last couple weeks, so I don't know where they're at, but they were...

137

00:20:34.640 --> 00:20:38.739

Shanti Punukollu: I think earlier they were at a 450, if I recall?

138

00:20:39.410 --> 00:20:51.160

Kevin Li: Yeah, that sounds about right. They have what sounds like about 3 months of runway, and I think she's banking on getting some additional revenue, to sort of keep things going, but...

139

00:20:52.290 --> 00:21:00.060

Kevin Li: that's... this is probably my biggest concern, is I'm thinking backwards from, sort of, this... this 3 million seed round that she's targeting as the next

140

00:21:00.160 --> 00:21:09.260

Kevin Li: Gate, we'll call it, or milestone. And, you know, you need, like, 3 to 6 months just to get that going.

141

00:21:09.570 --> 00:21:09.950

Shanti Punukollu: Yes.

142

00:21:10.520 --> 00:21:16.899

Kevin Li: she's... she's sort of... she's gonna be non-stop raising, is, I think, is a worry I have, is...

143

00:21:16.900 --> 00:21:17.300

Shanti Punukollu: Yes.

144

00:21:17.300 --> 00:21:19.569

Kevin Li: It's just gonna be kind of trying to get that next check.

145

00:21:20.200 --> 00:21:20.910

Shanti Punukollu: Yes.

146

00:21:22.170 --> 00:21:23.830

Kevin Li: is, is,

147

00:21:24.130 --> 00:21:30.459

Kevin Li: So did the money that Golden Seeds put in, was that the first of multiple tranches, or is that it?

148

00:21:31.290 --> 00:21:38.609

Shanti Pudukollu: We may go back for another, like, a bridge, if needed. Probably we'll do that in Q2, not...

149

00:21:38.900 --> 00:21:56.630

Shanti Pudukollu: well, I guess we're almost in Q2 now, but in Q2, if we came to that, I'd probably do some sort of a syndication call, and maybe raise, like, \$100K or \$150K. I actually have a call with her, I was actually supposed to have a call with her today, but I kind of pushed it in favor of your meeting, but...

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00:21:56.630 --> 00:21:57.680

Kevin Li: Appreciate that, thank you.

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00:21:57.680 --> 00:22:16.309

Shanti Pudukollu: So, to actually talk through what's happening, because they hired the new salesperson just in February, and, so I want to, like, talk a little bit through her of what they're doing with that salesperson, and what the pipeline is looking like, etc. You might actually have more data about that than I do.

152

00:22:17.300 --> 00:22:23.980

Kevin Li: No, I mean, I think he had just joined on kind of our call with him, and so it...

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00:22:24.270 --> 00:22:25.419

Kevin Li: I think he was...

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00:22:25.600 --> 00:22:34.580

Kevin Li: it was too early for us to sort of ask probing questions. Maybe now that he's had a few weeks on the job, he can, you know, we can go back and kind of pepper him with questions.

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00:22:35.010 --> 00:22:41.160

Shanti Punukollu: Yeah, I think that would be good to probe him on what, because I do plan to connect with,

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00:22:41.380 --> 00:22:51.770

Shanti Punukollu: I asked her to connect with him to find out how he's building out the pipeline, how he's getting specific things, and how are we making sure that we're targeting the right sets of channels that we.

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00:22:51.770 --> 00:22:52.090

Kevin Li: Yes.

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00:22:52.090 --> 00:23:15.590

Shanti Punukollu: very focused on because... and say, okay, how can we get recurring contracts? How can we build out of that? How can we perhaps expand within a particular type of vertical? So I'm hoping he can answer that. So this is something that I would encourage you guys to drill down a little bit. I think the commercialization has always been the biggest risk. I think the question is.

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00:23:15.590 --> 00:23:20.060

Shanti Punukollu: can she... Have enough revenue and funding

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00:23:20.060 --> 00:23:41.370

Shanti Punukollu: that it gets proven out in the commercialization, and she's built the specific channels that are going to be successful. Because I think the technology is very solid. She is an amazing founder and innovator, and she has led a lot of the founder-led sales, so that's also very helpful. But I think that's the biggest,

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00:23:41.370 --> 00:23:54.650

Shanti Punukollu: area that, you know, they're working on, and they're improving. They hired the right people. Hopefully, we'll find out. But, and... but that was the biggest risk that we had, asked her to focus on.

162

00:23:55.980 --> 00:24:07.819

Kevin Li: Super helpful. Were there any other, maybe, yellow flags that, that you remember where, maybe they were concerns, but you, you felt like, you know,

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00:24:08.230 --> 00:24:11.160

Kevin Li: The... the upside was... was worth the risk.

164

00:24:11.760 --> 00:24:15.090

Shanti Punukollu: So, I think, one of them was, one...

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00:24:15.360 --> 00:24:23.309

Shanti Punukollu: Flag was this... the Air Force person who was... who we ended up talking to as a result of that. We were like, what's going on? Why does he.

166

00:24:23.310 --> 00:24:23.700

Kevin Li: Yeah, yeah.

167

00:24:23.700 --> 00:24:33.660

Shanti Punukollu: a significant percentage of the cap table? Like, why did you give up a significant portion of your company to have, like, fully vested? You know, which is usually.

168

00:24:33.660 --> 00:24:34.040

Kevin Li: Yes.

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00:24:34.040 --> 00:24:41.019

Shanti Punukollu: takes multiple years, like, what's... what's going on? And, I think that was something, and we talked to him.

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00:24:43.740 --> 00:24:55.729

Shanti Punukollu: I can say that that's part of why I chose not to include a lot of the defense part in any of the populations, is because he is great.

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00:24:56.730 --> 00:25:06.050

Shanti Punukollu: as an evangelist, but I don't know how good he is at converting things into real defense contracts.

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00:25:06.220 --> 00:25:11.409

Shanti Punukollu: Gotcha. So, at least that's the sense we got when,

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00:25:11.410 --> 00:25:29.399

Shanti Punukollu: we walked away from that, you know, they, that we weren't really sure, so... so that was a bit of a yellow flag, and that's why we discounted, stuff. Now, she can still go for CIBR grants, and she has a pretty strike rate, good strike rate. We would all, as investors, appreciate any CIBR money that came in.

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00:25:29.400 --> 00:25:29.799

Kevin Li: That's right.

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00:25:29.800 --> 00:25:37.790

Shanti Punukollu: Absolutely. And I'm sure she's planning to apply, and, so that, that is just bonus.

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00:25:38.070 --> 00:25:45.660

Shanti Punukollu: I did not, expect that. So that's one of the yellow flags. The other one was that, you know, her...

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00:25:46.480 --> 00:26:11.410

Shanti Punukollu: she has a very small team. I don't know if this is really a yellow flag, it's more like something to watch for is she has a small team, it's very effective. Now, first of all, her product is pretty plug-and-play, so they don't need to do a lot of support calls. The other thing that appealed to us about some of the work that she was doing is that, you know, for places where they've already

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00:26:11.410 --> 00:26:27.599

Shanti Punukollu: installed, they've gotten, like, maybe two calls over a year. So, which is a very low support overhead, so she has a very small team. But as the product evolves, and as you get more clear on your channels, you might get different product requests.

179

00:26:27.600 --> 00:26:44.319

Shanti Punukollu: And what does that mean in terms of, you have a great team, how are you going to expand your team? Because they're pretty junior, which also means that they're willing to get paid in stock, and not a lot of salary. What happens when you have to hire more seasoned individuals, and what does that mean?

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00:26:44.320 --> 00:26:44.680

Kevin Li: Yes.

181

00:26:44.680 --> 00:26:57.659

Shanti Punukollu: So, with the salesperson, I think they hired him on some sort of, like, commission plus something basis, so he, so they're able to sort of, in a way, defer some of those costs, but.

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00:26:57.660 --> 00:26:58.040

Kevin Li: I think.

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00:26:58.040 --> 00:27:12.100

Shanti Punukollu: what's, I think the big thing is, how do they mature once they have to hire more seasoned people? Especially if they have to build out, like, more of a go-to-market sort of an engine? How do they make that happen?

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00:27:13.430 --> 00:27:24.550

Kevin Li: Makes sense, makes sense. Super helpful, thank you, for adding that extra color. Jamie Bahar, I'm realizing I have taken up almost all of the time with my questions.

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00:27:24.760 --> 00:27:26.620

Kevin Li: Do you guys have anything else to add?

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00:27:26.990 --> 00:27:44.800

Jamie Allison: Nothing to add, you're leading the diligence, you have the depth of context, so I'm obviously connecting some of the dots, given the support role that I have on this deal. So, Shanti, thank you so much. You've really illuminated some of the areas that were on our minds, so... I'm all set on my end. Thank you, Kevin. Thank you, Shanti.

187

00:27:45.840 --> 00:27:49.590

Kevin Li: No, I... Shanti, thank you. Am I... are we saying that right, by the way?

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00:27:49.590 --> 00:27:50.459

Shanti Punukollu: shanty, but that.

189

00:27:50.460 --> 00:27:50.970

Jamie Allison: Add some chocolate.

190

00:27:50.970 --> 00:27:53.020

Shanti Punukollu: Yeah.

191

00:27:53.020 --> 00:27:54.800

Jamie Allison: Kushanti.

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00:27:54.800 --> 00:28:00.199

Shanti Punukollu: Okay, thank you. And you said there was more people... oh, first of all, Bahart, did you have any questions?

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00:28:00.290 --> 00:28:13.029

New World Angels: No, no, no questions. Thank you so much for your time, really appreciate it, and if there's any further communication, we'll touch base with you via email, but this was great for now. Of course, we have to share this with the rest of our team, but we'll definitely be in touch.

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00:28:13.420 --> 00:28:17.829

Shanti Punukollu: Okay, and who... how many people are on your due diligence team, if you don't mind me asking?

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00:28:17.830 --> 00:28:19.490

New World Angels: We have about 10 members.

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00:28:19.770 --> 00:28:27.680

New World Angels: Wow. Because we had to schedule in, it's difficult during the week, midweek, so, that's why we tried to schedule it as soon as possible.

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00:28:28.100 --> 00:28:29.230

Shanti Punukollu: Okay.

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00:28:29.230 --> 00:28:46.890

Jamie Allison: Clarity Shanti, Kevin is the lead on this deal, so Kevin's been going as deep as we've been going to as a syndicate to fully understand it. So for clarity, Shanti, did you lead the due diligence on this? Yes. Okay. How many members did you have on due diligence?

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00:28:47.170 --> 00:28:49.589

Shanti Pudukollu: Oh, we had about,

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00:28:50.460 --> 00:29:08.580

Shanti Pudukollu: five, four or five people. There was myself, the deal advisor, and, one person with a lot of background in defense-related areas, so, another person who has some background in,

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00:29:08.880 --> 00:29:22.390

Shanti Pudukollu: simulation environments and, and AI, and then we, and then... trying to think who else... what was the fifth person's background?

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00:29:22.710 --> 00:29:41.919

Shanti Pudukollu: escaping at me right now, but we also had a bunch of people, like I said, we had our, one of the members who is a patent, attorney, was previously a patent attorney, so she helped consult, and then we had the member who's actually a big member of large theater groups across,

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00:29:41.920 --> 00:29:42.330

Jamie Allison: Oh.

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00:29:42.330 --> 00:29:58.570

Shanti Pudukollu: She's the one who connected us to PRG, because she's very avidly connected with theater groups, which she has connected more theater groups to this as well, because she feels like, especially... I don't know if you saw the demo with the fluttering curtain,

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00:29:58.570 --> 00:30:00.639

Kevin Li: Yeah, very cool. Very impressive.

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00:30:00.640 --> 00:30:02.919

Jamie Allison: We were wowed away with a demo.

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00:30:02.920 --> 00:30:04.049

Kevin Li: It's very hard.

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00:30:04.050 --> 00:30:08.159

Shanti Punukollu: Yeah, the demo is, like, hard to beat, right? Like, I mean, it's incredible.

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00:30:08.160 --> 00:30:27.420

Jamie Allison: Show me where to write the track after that demo. Shanti, can I ask you, can you help distill all that with a couple of, kind of, you know, conclusionary, kind of a prompt? And that is, what is the bet you're making, and what do we have to believe

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00:30:27.450 --> 00:30:33.409

Jamie Allison: In order to go into this arrangement, this deal with them? Like, what are the bets that you made that we'd be making on this?

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00:30:35.020 --> 00:30:38.259

Shanti Punukollu: Well, I mean, most of it was laid out in the memo.

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00:30:38.260 --> 00:30:42.980

Jamie Allison: I mean, like, I mean, we don't have to repeat it, just briefly, what is the bet you guys made?

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00:30:44.030 --> 00:30:53.069

Shanti Punukollu: I think the bet for me is her technology is differentiated enough that if she can get to a point where she's integrated.

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00:30:53.190 --> 00:31:06.499

Shanti Punukollu: potentially even, and builds a partnership with something like even NVIDIA, where they can basically make it into the core of their technology. The potential for a multi-X return is high.

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00:31:06.920 --> 00:31:10.380

Jamie Allison: So you bet on the technology. You made the bet on the technology.

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00:31:10.380 --> 00:31:11.499
Shanti Punukollu: And the founder.

217
00:31:11.950 --> 00:31:13.890
Jamie Allison: Check Okay.

218
00:31:15.330 --> 00:31:19.340
Shanti Punukollu: So that's... and for me, it's not,

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00:31:20.320 --> 00:31:28.289
Shanti Punukollu: It is a higher risk, higher reward bet, if that makes sense. It's not a lower... because it's still fairly early.

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00:31:28.290 --> 00:31:29.350
Jamie Allison: Yeah. Yep.

221
00:31:29.350 --> 00:31:29.920
Kevin Li: Yes.

222
00:31:29.920 --> 00:31:30.450
Shanti Punukollu: So you have...

223
00:31:30.450 --> 00:31:31.019
Kevin Li: I see the same.

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00:31:31.020 --> 00:31:45.479
Shanti Punukollu: So you have to evaluate that as a group, whether... I don't know what your risk appetite is across your membership base. I see all kinds of different people at Golden Seeds, so I'm sure that's true for your group as well.

225
00:31:45.480 --> 00:31:46.820
Kevin Li: Yes, yes.

226
00:31:46.820 --> 00:31:57.339

Jamie Allison: Yeah, we have two vehicles by which to kind of conclude with our decision. One, we can make it a discretionary investment by individual members, right, but still pool.

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00:31:57.370 --> 00:32:13.650

Jamie Allison: Or just cool and make it a mandatory deal, and I, you know, we'll discuss Kevin and I and Ron and the President, is that it's just a threshold for mandatory, you know, which is a different threshold versus discretionary, more likely discretionary, given the risk profile, yeah. Okay.

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00:32:13.650 --> 00:32:20.380

Shanti Punukollu: Yeah, yeah. All right. Okay, anything else, Kevin, or Jamie, or Bahar?

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00:32:20.950 --> 00:32:21.370

New World Angels: All good.

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00:32:21.370 --> 00:32:32.049

Kevin Li: I know, Shadi, this is... this is great. Thank you, thank you for taking the time from India on a poor connection, you're losing power, you're rescheduling meetings for us. Really appreciate it. Thank you.

231

00:32:32.050 --> 00:32:56.969

Shanti Punukollu: Yeah, no worries. And if you're doing more due diligence, just... I mean, I... of course, our due diligence comes with a big caveat, you know, it's just basically what we know at that time. And I apologize for any typos in the details of the memo, because it has come to my attention that I have, incorrectly stated some stuff. I must admit that the further on as I get into the doc, there is some AI that's used. I usually... nobody reads past the first three pages.

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00:32:56.970 --> 00:33:00.980

Shanti Punukollu: Like, honestly, even in our group, I don't know about your group.

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00:33:01.160 --> 00:33:18.059

Kevin Li: It was... it was very informative, and there was so much... part of the reason we wanted to get on this call is there was so much that was in the memo that is not in the data room anywhere. You know, Aditi didn't tell us, it's not anywhere else, and that's why I felt like, yeah, we really had to... to talk to you. So, this is... this is fantastic.

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00:33:18.400 --> 00:33:26.199

Shanti Punukollu: Okay, and feel free to reach out to me for more questions, and, if you have anything. And like I said, it does,

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00:33:29.340 --> 00:33:46.489

Shanti Punukollu: I think this is... this is definitely a founder and tech-led sort of, sort of a deep tech, scenario that you should consider. I do not think that... if you tried to make the math work, the math... the financials at this stage are arbitrary at best.

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00:33:47.380 --> 00:33:48.720

Kevin Li: Agreed, agreed, it's just too early.

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00:33:49.340 --> 00:34:04.979

Shanti Punukollu: Yes. Okay, cool. Well, good luck, and keep me posted on what you guys decide, just so I know how to, like, help or advise, Aditi as well, because I'm trying to make sure that she's successful in landing some of these deals as well.

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00:34:05.180 --> 00:34:07.600

Kevin Li: Yeah, will do, definitely. Thank you so much.

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00:34:07.600 --> 00:34:09.259

Shanti Punukollu: Alright, thank you. Bye.

240

00:34:10.110 --> 00:34:10.739

Kevin Li: See ya.